Industry Insight Series #1

Construction Payment Times: Compliance vs Optics

Prepared by Monochrome Compliance

1. The observed industry pattern

Recent Payment Times Reports from construction entities reveal a recurring trend: many organisations indicate full compliance with state-based Security of Payment legislation, yet report only 35–60% of small business invoices paid within agreed terms.

At face value, this appears inconsistent. But the disparity is frequently structural rather than behavioural.

2. Why the disparity arises

Security of Payment legislation regulates the maximum time after a valid payment claim. Payment Times Reporting measures elapsed calendar days between invoice date and payment date.

In construction environments, these clocks frequently diverge due to operational mechanics, such as:

- Progress claims submitted on fixed monthly cycles (e.g. the 25th of the month)
- 30 days end-of-month contractual structures
- Certification and approval workflows prior to payment
- Retention release timing at project milestones
- Weekly or fortnightly disbursement runs

When these structural elements are not modelled prior to submission, reported outcomes can appear weaker than operational reality.

Structural timing comparison: contractual compliance vs reported elapsed days

Structural element	Impact on reported PTRS metric
Progress claim submitted on fixed monthly cycle (e.g. 25th)	Invoice date may precede statutory assessment and certification period, increasing recorded elapsed days
30 days End-of-Month contractual structure	Adds a full month before payment term calculation begins, inflating calendar day measurement
Certification and approval workflows	Payment clock under PTRS may commence before internal validation process concludes
Weekly or fortnightly disbursement runs	Cut-off timing can add 7–14 additional days unrelated to contractual non-compliance

Structural element	Impact on reported PTRS metric
Retention releases at milestone or completion	Median payment time distorted by long-tail retention payments rather than operational trade payments
Intra-group or intercompany settlements	Sporadic internal payments increase average and median figures without reflecting supplier payment behaviour

Observation: Compliance with Security of Payment legislation does not automatically translate to favourable outcomes under the Payment Times Reporting framework. The divergence is structural, not behavioural.

3. Strategic and regulatory implications

While many construction entities remain compliant with contractual and legislative obligations, published metrics influence perception, regulatory scrutiny and commercial positioning.

The issue is rarely non-compliance. More commonly, it is a misalignment between contractual payment mechanics and reporting methodology.

4. Practical alignment strategies

Construction payment environments are inherently complex. However, targeted structural alignment can materially improve reporting outcomes without requiring wholesale system change.

- Pre-submission Structural Modelling: Model contractual payment structures (including EOM impact, progress claim timing and certification cycles) before report submission to identify distortion risks.
- Retention segmentation analysis: Separate operational trade payments from retention releases when assessing median and percentage-within-terms performance.
- Invoice date governance: Align internal processes to ensure invoice recognition aligns with validated claim timing where appropriate and defensible.
- Disbursement timing review: Assess whether payment run schedules unintentionally inflate elapsed calendar days.
- Intra-group transaction segregation: Remove or separately analyse intercompany settlements to reduce noise in reported metrics.

- Scenario sensitivity testing: Conduct structured modelling of alternative timing configurations to understand potential improvement pathways.

Entities that proactively map and align these structural elements tend to experience fewer reporting anomalies, reduced need for explanatory commentary, and stronger alignment between operational performance and published metrics.

About Monochrome Compliance

Monochrome Compliance provides independent payment behaviour advisory and reporting oversight to large reporting entities.

We work with finance and leadership teams to ensure payment performance is understood early, interpreted correctly and presented confidently. Our focus is not only on regulatory compliance, but on protecting organisational narrative, reputational exposure and governance clarity.

Through structured monitoring and targeted diagnostics, we identify emerging drift, concentration exposure and structural misalignment before they become reporting issues. Where required, we support precise intervention — without unnecessary system overhaul or operational disruption.

Our approach is measured, analytical and commercially grounded. We aim to provide calm oversight in environments where payment performance carries regulatory, reputational and stakeholder consequences.

Focus areas include:

- Payment Behaviour Monitoring & Advisory
- Payment Times Reporting (PTRS) oversight
- Structural timing interpretation and alignment
- Concentration and exposure analysis
- Reporting defensibility and narrative positioning

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